

the Compound protocol. This is one example of DeFi platforms being composed to create new products and value for investors.

**Table 6.8 Problems That Set Protocol Solves**

| <b>Traditional</b>                                                                                                                              |                                                                                                                                                                               |
|-------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Finance Problem</b>                                                                                                                          | <b>Set Protocol Solution</b>                                                                                                                                                  |
| <i>Centralized control:</i> Fund managers can control their funds against the will of investors.                                                | Enforces sovereignty of the investor over their funds at the smart contract level.                                                                                            |
| <i>Limited access:</i> Talented fund managers often are unable to gain exposures and capital to run a successful fund.                          | Allows all to become fund managers and display their skills using social trading features.                                                                                    |
| <i>Inefficiency:</i> Many arising from antiquated practices.                                                                                    | Trading strategies encoded in smart contracts lead to optimal execution.                                                                                                      |
| <i>Lack of interoperability:</i> Difficult to combine assets into new packages and incorporate the combined assets into new financial products. | Set tokens are ERC-20 compliant tokens that can be used on their own in other DeFi protocols. For example, Aave allows Set token borrowing and lending for some popular Sets. |
| <i>Opacity:</i> Difficult to know the breakdown of assets in an ETF or mutual fund at any given time.                                           | Total transparency into strategies and allocations of Set tokens.                                                                                                             |